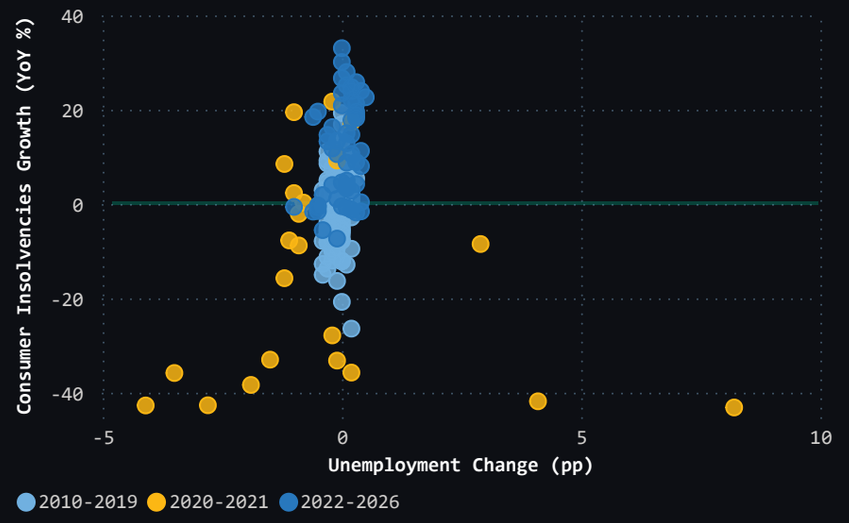
OVERVIEW - CANADIAN HOUSEHOLD FINANCIAL STRESS - PAGE 1

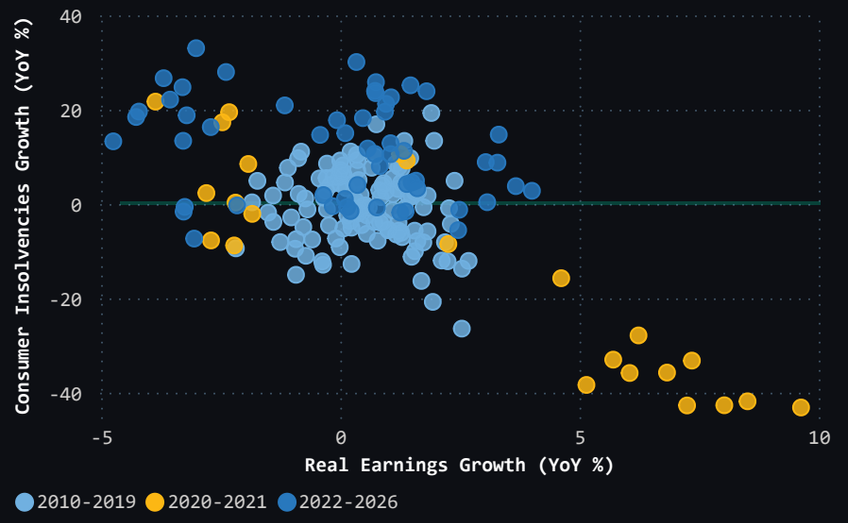
Economic Conditions and Household Distress

Exploring differences in household financial stress across economic regimes, 2010–2026

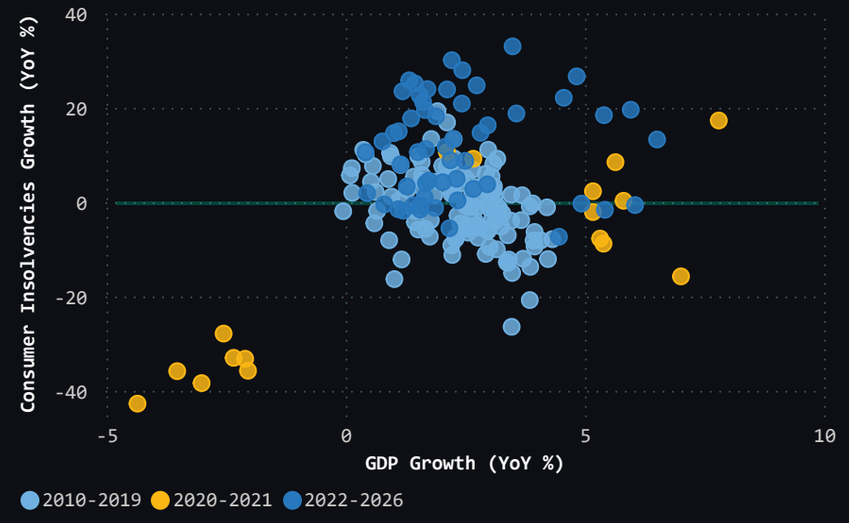
Unemployment Change vs. Consumer Insolvencies Growth



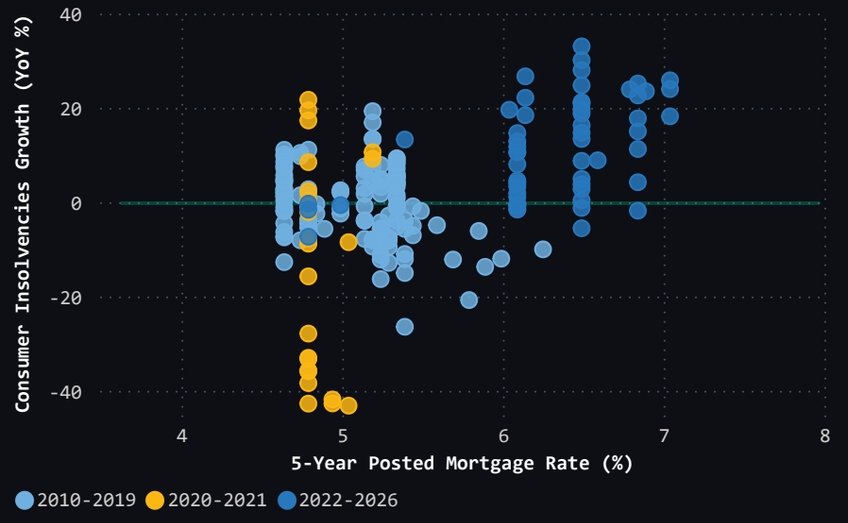
Real Earnings Growth vs. Consumer Insolvencies Growth



GDP Growth vs. Consumer Insolvencies Growth



5-Yr Posted Mortgage Rate vs. Consumer Insolvencies Growth



KEY FINDINGS - PAGE 1

Macroeconomic conditions and household insolvencies exhibit differing relationships across economic periods.

Pandemic-era divergence

Sharp contractions in GDP and significant unemployment shocks coincided with declining consumer insolvency growth, contrary to the relationship ordinarily expected during economic downturns.

Inconsistent relationships

Similar unemployment changes and mortgage-rate levels were observed alongside substantially different insolvency outcomes, suggesting that individual indicators do not fully explain financial distress.

Economic regime differences

The distribution of observations varies across the pre-pandemic, pandemic, and post-pandemic periods. This motivates further investigation into whether these relationships remain statistically consistent over time.

SOURCE:

Canadian macroeconomic indicator dataset, compiled from philipsmith.ca. Each point represents one monthly observation. Consumer insolvency growth is measured year over year, unemployment change over three months in percentage points, and the remaining indicators as labelled.